Inventory Planning Policy

1. Purpose

This policy defines how Acme Distribution plans, replenishes and reviews inventory across its regional warehouse. The goals are to hit service-level targets while minimising working capital and avoiding obsolete stock.

2. ABC Classification

Every SKU is classified annually by its share of consumption value. Class drives the service-level target and how often the SKU is reviewed.

Class	% of SKUs	% of Annual Value	Service Level Target	Review Cycle
A	20%	80%	99%	Weekly
B	30%	15%	95%	Bi-weekly
C	50%	5%	90%	Monthly

3. Safety Stock and Reorder Point

Safety stock protects against demand and lead-time variability. For normally distributed demand: **Safety Stock = Z x sigma_d x sqrt(L)**, where sigma_d is the standard deviation of daily demand, L is the supplier lead time in days and Z is the service factor. **Reorder Point (ROP) = (average daily demand x L) + Safety Stock**.

Service Level	Z Factor
90%	1.28
95%	1.65
99%	2.33

4. Order Quantity

Use the Economic Order Quantity: **EOQ = sqrt(2 x D x S / H)** where D is annual demand, S is the cost per order and H is the annual holding cost per unit. Holding cost is set at 22% of unit cost. Standard cost per purchase order is USD 60. EOQ must be rounded up to the supplier's MOQ.

5. Exceptions

A SKU whose on-hand plus on-order stock falls below its reorder point must be flagged for replenishment at the next review. Any SKU with fewer than 7 days of cover must be escalated to the planning manager and an expedited order considered.